

June Trade: Tech Leads, the Rest Catch Up

Key Takeaways

- June trade growth beat market expectations, supported by persistent tech tailwinds and a further broadening of non-tech exports.
- Some of the headline strength may also reflect catch-up demand, following earlier shipping and energy-supply bottlenecks.
- Tech still dominates: Semis+Computers contributed 9.4pp and 17.4pp to headline export (27%) and import (36%) growth, up from 9.3pp and 14.3pp in May.
- Export breadth improved further: non-tech export growth accelerated to 19.8% YoY, from 11.2% in May, led by autos and labor-intensive consumer goods.
- Tech tailwinds should keep headline trade growth robust, but sequential momentum may soften amid renewed tensions in the Strait of Hormuz.

Beyond tech, export breadth is improving...: Auto exports rose 12% MoM SA, taking YoY growth to 70%, from 39% in May. Exports of labor-intensive consumer goods increased 4.2% MoM SA. Upstream exports were also strong. Refined petroleum exports rose another 9% MoM SA, after a 13% increase in May, while aluminum exports surged 17% MoM SA after a cumulative 25% increase over January–May.

The broadening was also visible across destinations, with sequential export growth improving on a broad-based basis.

... and improvement in imports was more commodity-heavy, and uneven: Coal imports rose 17% MoM SA, after a 33% surge in May, while iron ore imports increased 7% MoM SA. For both commodities, sequential strength was driven more by volumes than by prices. Higher coal imports may partly reflect tighter domestic supply following broad safety inspections at coal-production sites.

In contrast, import value for crude oil contracted at -16% MoM SA, despite sequentially stable import prices for crude, which points to a continued slump in import volume.

Outlook: Structural tech demand should keep headline export and import growth elevated in the coming months. Renewed Hormuz tensions pose downside risks: with thinner inventory buffers, a moderate shock could disproportionately hit shipping, production, and global trade.

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Exhibit 1 : Summary Table

	Jun-26	May-26	Apr-26	Mar-26	2026	1Q26	2025
Trade Balance*, US\$ bn	126	105	85	50	316	262	1181
Exports, US\$ bn	412	377	389	321	1146	977	3771
YoY, %	27.0	19.4	14.0	2.5	20.2	14.7	5.4
By destination, YoY, %							
US	13.9	35.4	11.3	-26.5	19.2	-16.4	-19.8
Japan	6.9	10.9	4.0	3.3	7.3	6.8	3.6
EU	18.5	7.6	13.4	8.6	13.1	21.0	8.5
ASEAN	34.5	24.3	15.2	6.9	24.6	20.2	13.4
Hong Kong	58.0	63.1	44.3	41.0	55.1	39.0	15.2
Korea	42.6	42.1	24.6	19.6	36.3	23.8	-1.4
Taiwan	43.7	32.2	26.9	35.2	34.2	31.1	11.1
Imports, US\$ bn	287	271	275	271	833	716	2589
YoY, %	36.0	27.4	25.2	28.3	29.5	23.2	0.2
By product, YoY, %							
Mechanical & Electrical Products	47.5	38.2	33.5	25.9	39.7	24.5	5.0
Unwrought Copper & Products	45.0	44.3	38.4	20.9	42.6	15.6	0.0
Steel Products	5.5	-9.6	1.3	2.9	-1.0	-9.0	-11.5
Plastics in Primary Forms	-9.8	-22.2	-19.4	-4.4	-17.4	-12.3	-9.3
Crude Petroleum Oil	-7.4	15.3	13.2	-4.4	7.0	-4.6	-8.7
Iron Ore & Concentrates	18.3	6.6	2.7	12.7	9.2	12.1	-8.6

Source: China Customs, Morgan Stanley Research.

Exhibit 2 : Global AI cycle drives China trade growth



Source: CEIC, Morgan Stanley Research

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